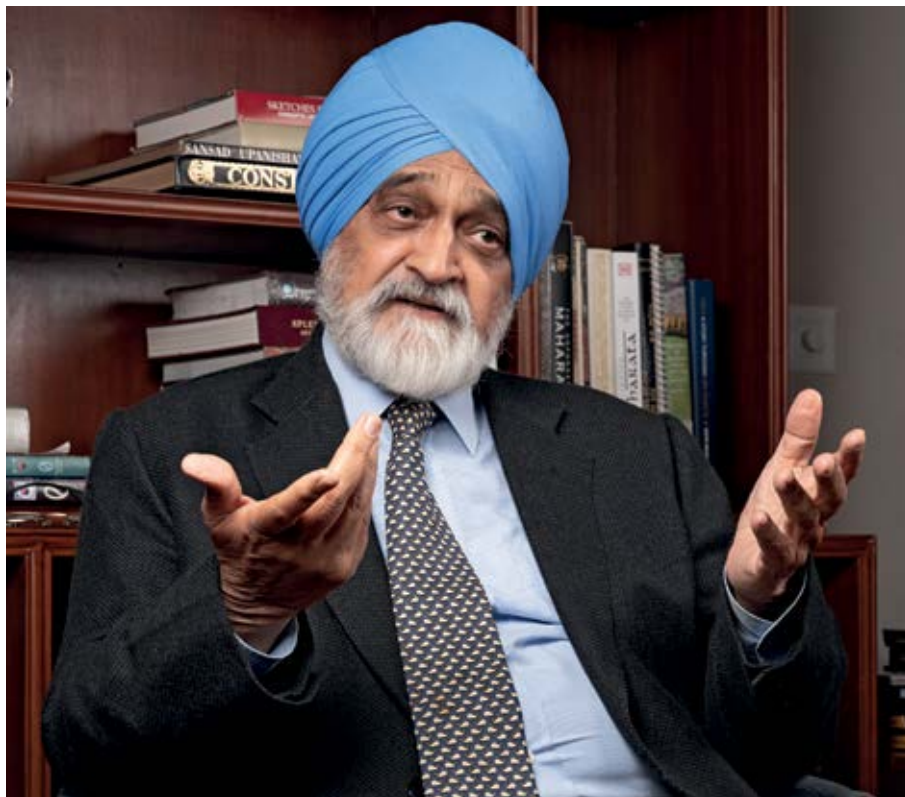




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With our cities bursting at the seams, don't you think urbanisation is a challenge?

This is indeed a major challenge. If Viksit Bharat comes about, we must plan to provide for a large increase in the urban population, but our existing cities are full to the brim. We need more new cities that can absorb the additions to the urban population.

Expansion of urban spaces runs into problems of land availability and meets political opposition. Perhaps the best way to overcome this problem is to encourage some of

our larger states to split into smaller states, and let the new states choose a city to expand to a new capital. The creation of a capital city for a new state would create a political environment in which the usual opposition to land acquisition may be muted. The Centre should consider offering central assistance to any state wishing to split into two, or even three, for the largest states, with the objective of expanding an existing city in that area into a new capital or building an entirely new capital.

Moving away from very large states to more

manageable states will also improve development effectiveness. If states were willing to devolve funds and functionaries to lower levels, there may be less need to split states, but they are not. If states are going to be run in a centralised way, I have no doubt that smaller states would be much more effective.

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Employment generation remains one of India's biggest challenges. What labour market and skilling reforms are required to create more high-quality jobs, particu-

larly in manufacturing and services?

Employment is indeed a weak spot in performance. However, the problem is not due solely to inadequacy of skills. We are not creating enough jobs, and I don't think enough jobs can be created if the growth rate remains 6.4%. We need to jack up the growth rate to 8% at least.

The recent announcement of an apprenticeship scheme is an important initiative. This is an area where other countries have done much better than we have, and we should look at the reasons for this more carefully. The scheme that has been announced should be carefully evaluated to see whether it is having the effect intended and if not, how it can be improved.

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Despite various policy initiatives, manufacturing's share in GDP remains low and is even declining. What reforms and incentives can drive a substantial and sustained revival?

This is indeed a long-standing weakness in our performance. When I was in the Planning Commission more than a decade ago, we had set a target that the share of manufacturing value added in GDP should be raised to 25%. We were not able to achieve it. The same target was repeated by the NDA government,